

Storage and optical hardware outrun a rates-and-oil shock

Tuesday 18 Aug 2026 | Prepared for Alex | Coverage cutoff: Mon 17 Aug 20:15 ET / Tue 18 Aug 07:15 ICT | Prior cutoff: Sun 16 Aug 20:15 ET

Assumptions: Monday's US close is the market anchor; commodity and dollar-index figures are labeled by timestamp when they are late-session snapshots rather than official settlements. Yahoo Finance and SEC EDGAR datasource calls partially failed after quota exhaustion, so verified official releases and session-dated wraps fill the gaps. Chromium was available at /usr/bin/chromium rather than the preferred pinned path.

60-second read

- AI hardware breadth beat the index tape.** The S&P 500 fell 0.52%, but SanDisk rose 8.88%, Credo 8.82%, Coherent 7.79%, Applied Materials 5.50% and Micron 4.13%; Meta, Microsoft and L3Harris each fell more than 3%.^{[1][2][3]}
- Oil and long-end yields are again the macro constraint.** WTI was up 3.09% at \$84.95 late Monday and the 30-year yield reached 5.309%, keeping the inflation-risk bid alive after the US-Iran interim arrangement lapsed.^{[4][16]}
- Fabrinet beat, then sold off after hours.** Q4 revenue of \$1.3158B and non-GAAP EPS of \$4.10 beat consensus, but negative Q4 free cash flow of \$36.9M and a 6.92% after-hours drop change Tuesday's optical-hardware setup.^{[7][8][9]}
- US manufacturing surprised to the upside.** Empire State jumped to 20.6, its strongest reading in more than four years, while prices paid stayed high at 58.6; NAHB remained weak at 35.^{[11][12]}
- Positioning is less one-way at the front end of vol, not in equities.** VIX closed 15.19 and SPX put/call reached 1.28; CFTC data as of 11 Aug still show leveraged funds net short S&P 500, Nasdaq-100 and Russell 2000 futures.^{[21][22][23]}

1 Market recap

S&P 500 7,745.06 -0.52% -40.70	Dow Jones 53,459.78 -0.51% -272.63	Nasdaq Composite 26,644.91 -0.32% -84.25	Russell 2000 3,057.54 -0.35% -10.88
WTI late session \$84.95 +3.09%	Gold late session \$4,473.10 +2.12%	VIX close 15.19 +6.60%	DXY 4pm / indicative 99.57 / 99.64 -0.1% at 4pm

US equities sold off unevenly: index losses were moderate, but leadership rotated toward memory, storage, optical interconnect and select semiconductor capital equipment. The pressure came from the cross-asset side rather than a broad collapse in index breadth: crude rallied, the 30-year Treasury yield pushed above 5.30%, and the dollar was only marginally softer.^{[1][2][4][16]} AP's closing table and the verified Yahoo quote artifact agree on the S&P 500 close; index figures below use the same session date.^{[1][2]}

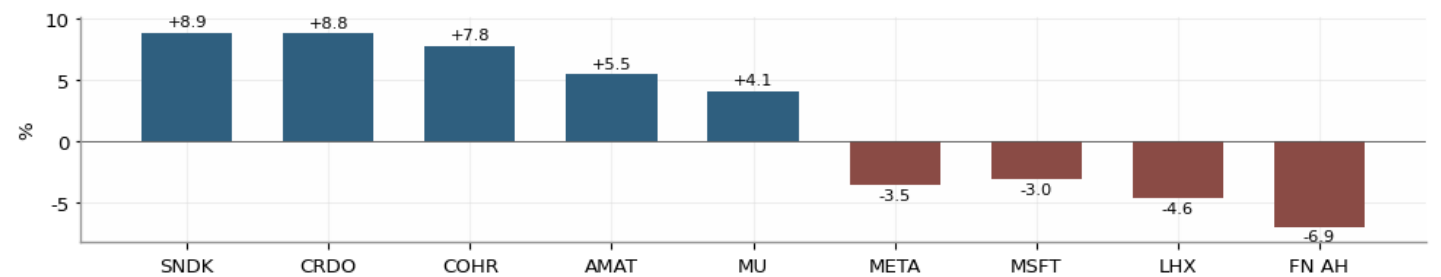


Figure 1. Selected verified single-stock moves, Mon 17 Aug; Fabrinet is the post-close move. Sources: Yahoo Finance plugin, Futu session table, AP and Investing.com.^{[1][2][3][9]}

2 Equities and earnings

What led and what lagged

Storage and memory were the cleanest expression of the AI trade. SanDisk closed at \$1,786.85, up 8.88%, on 17.68M shares; the Yahoo datasource confirms Monday's open, high, low, close and percentage change.^[2] Western Digital rose 5.35% to \$536.01, Micron 4.13% to \$1,011.75, SK Hynix ADR 3.04% to \$171.38, Seagate 2.19% to \$994.79 and Silicon Motion 1.41% to \$272.70.^[3] The same session table shows Applied Materials up 5.50% at \$535.31.^[3]

Optical and interconnect hardware followed. Coherent rose 7.79% to \$351.22, Credo 8.82% to \$282.82, Marvell 5.54% to \$234.33, Lumentum 4.62% to \$968.90, Corning 4.35% to \$173.21 and Fabrinet 4.97% to \$598.58 in the regular session.^[3] The offset was concentrated in platform and software megacaps: Meta fell 3.54% to \$568.97 and Microsoft fell 3.04% to \$480.35, while Nvidia was nearly unchanged at \$225.01.^[3]

Table 1. Single-stock drivers and next checkpoints

Name	Monday driver	Next checkpoint
SanDisk / Micron	Storage and memory leadership	Whether strength broadens beyond the same storage complex.
Credo / Coherent	Optical and AI interconnect demand	Fabrinet's post-earnings reaction is the immediate sentiment test.
Applied Materials	Semiconductor capital-equipment bid	Follow-through if rates stabilize; vulnerability if the 30-year yield rises again.
L3Harris	CEO exit; guidance reaffirmed	Whether reaffirmed guidance contains the governance discount.
Meta / Microsoft	Megacap drag	Duration sensitivity and any shift in AI capex commentary.

Earnings, filings and corporate events

L3Harris. The company said Christopher Kubasik stepped down as chairman, CEO and director after conduct inconsistent with company values; it said the matter was unrelated to financial reporting, controls, customer relationships or operating performance. Sam Mehta became president and CEO, Lewis Hay III became independent chairman, and 2026 revenue, organic growth, margin, GAAP EPS and free-cash-flow guidance were reaffirmed. AP reported a 4.6% stock decline.^{[5][1]}

Berkshire's 13F. Berkshire increased its Alphabet holding by 83% to nearly 106M shares, valued at about \$37.8B on 30 June, making Alphabet its third-largest stock investment; it exited Constellation Brands. The filing is a 30 June position snapshot, not evidence of Monday trading, but it helps explain renewed attention on Alphabet and pressure in Constellation.^[6]

Fabrinet. Fiscal Q4 revenue rose 45% y/y to \$1.3158B; GAAP EPS was \$3.83 and non-GAAP EPS \$4.10, above MarketBeat's cited consensus of \$3.81 EPS and \$1.28B revenue. Q1 FY2027 guidance is revenue of \$1.375B-\$1.425B and non-GAAP EPS of \$4.10-\$4.25. The weak point was cash conversion: Q4 free cash flow was negative \$36.902M after \$91.869M of capex, and FY2026 free cash flow fell to \$4.222M from \$207.287M. The stock's 4.97% regular-session gain reversed to a 6.92% after-hours decline to \$557.14.^{[7][8][9]}

BHP. Secondary reporting of the miner's FY2026 results put underlying EBITDA up 27% at \$32.9B, underlying attributable profit up 30% at \$13.2B and operating cash flow up 17% at \$21.8B; dividends totaled \$1.72 per share. Copper produced 54% of group EBITDA at a reported 70% margin, and production was 1.95M metric tons. The official results page could not be retrieved before cutoff, so this item is a secondary-source read rather than a primary-source confirmation.^[10]

3 Macro, policy and rates

Empire State was firm, but not disinflationary. The NY Fed's August index rose to 20.6 from 15.6, the highest in more than four years. New orders were 17.3, shipments 11.7, unfilled orders 15.5 and delivery times 20.6; employment was 9.3. Prices paid remained elevated at 58.6 and prices received rose to 22.7, while future business conditions were 32.1.^[11]

Housing remains the weak offset. NAHB's August HMI rose one point to 35, still below 40 for a 16th straight month. Current sales improved to 39, expected sales held at 43 and traffic held at 23; 35% of builders cut prices, the average cut was 6%, and 63% used incentives.^[12]

TIC flows were strong but Treasury custody fell. June total net TIC inflow was \$133.5B. Net foreign purchases of long-term US securities were \$207.1B, while US investors bought a net \$34.4B of long-term foreign securities; adjusted net foreign purchases were \$172.7B. Separately, foreign holdings of Treasury bills fell \$29.0B and banks' net dollar-denominated liabilities fell \$34.4B.^[13]

Canada inflation moved back to 3%. StatCan reported July CPI up 3.0% y/y after 2.8% in June, with CPI up 0.5% m/m and 0.3% seasonally adjusted. Secondary attribution identifies gasoline, travel tours and store food as key contributors, but StatCan page access prevented primary-source verification of those components before cutoff.^{[14][15]}

4 Commodities and FX

Crude was the session's pressure point. A late-session scorecard put WTI at \$84.95, up \$2.55 or 3.09%, while the 4pm wrap showed WTI up 2.4% at \$84.35 and Brent up 2.4% at \$90.65; a separate session table put Brent at \$90.87. These are timestamped snapshots, not official CME or ICE settlements.^[16]
^{[4][3]} Gold was \$4,473.10, up 2.12%, in the late-session scorecard; the 4pm wrap showed futures up 0.9% at \$4,475.^{[16][4]}

Metals split. AP's 4:30pm COMEX table showed September copper last at \$6.6160/lb, up \$0.0030. LME copper was supported by a near-term supply squeeze and elevated backwardation earlier in the day.^{[17][18]} US natural gas was the exception: Trading Economics reported prices down about 2% to \$2.68/MMBtu during Monday, with Investing.com's historical row at 2.701 versus 2.733 on Friday.^[19]

FX was calm relative to rates and oil. ECB reference rates for 17 Aug imply EUR/USD 1.1593, USD/JPY 159.23, GBP/USD 1.3559 and USD/CAD 1.3859; Yahoo's USD/JPY history closes 17 Aug at 159.223 versus 159.426 on 14 Aug.^{[20][21]} DXY was 99.57 at 4pm according to Investopedia and 99.64 in Investing.com's indicative historical row, a source-and-timing difference retained in Annex A.^[4]

5 Derivatives, volatility and positioning

Volatility rose, but the curve stayed upward sloping. Official CBOE closes were VIX 15.19, VIX9D 12.39, VIX3M 19.04 and VIX6M 21.33; VIX/VIX3M was 0.798, while VVIX was 93.92.^[22] CBOE's 17 Aug daily options page showed total put/call 0.92, equity 0.65, index 1.03, ETP 1.13, VIX 0.42 and SPX+SPXW 1.28. The message is index-level hedging without a comparable equity-option panic.^[23]

CFTC positioning remains cleaner than price action. The 14 Aug TFF release, positions as of 11 Aug, shows leveraged funds net short 286,505 S&P 500 consolidated contracts, 96,727 Nasdaq-100 contracts and 95,158 Russell E-mini contracts. Week over week, the S&P net short narrowed by 46,594 and Nasdaq by 3,913, while Russell's net short widened by 10,013.^[24]

The asset-manager offset is the key context. Asset managers were net long 950,268 S&P 500 contracts, 62,589 Nasdaq-100 contracts and 10,130 Russell contracts. In the S&P contract, the weekly change came overwhelmingly from leveraged-fund short covering: official CFTC rows show leveraged shorts down 50,746 and leveraged longs down 4,152. That is risk reduction after a rally, not fresh long initiation, and it matters because the report's date is 11 Aug rather than Monday's close.^[24]

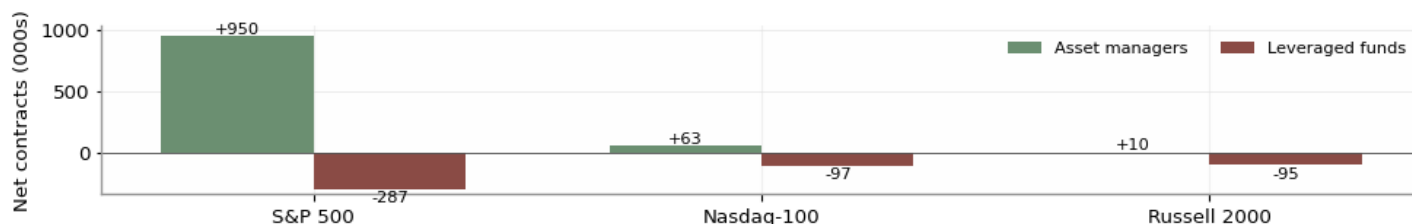


Figure 2. Official CFTC TFF net futures positions, contracts as of Tue 11 Aug, released Fri 14 Aug; the usual three-day publication lag applies. Source: CFTC.^[24]

6 The day ahead

Table 2. Known catalysts after the cutoff^[25]

Session	Release or event	Why it matters
Tue 08:30 ET	US housing starts and permits	Consensus on the cited calendar: starts 1.390M, permits 1.380M; tests the weak NAHB signal.
Tue 09:15 ET	Industrial production	Calendar consensus +0.2%; capacity utilization 76.3%.
Tue pre/post	Home Depot and Baidu pre-open; Keysight and Toll Brothers after close	Consumer, China and housing read-throughs.
Wed 14:00 ET	FOMC minutes; EIA crude inventories	Rates guidance and confirmation of the crude supply-risk repricing.
Wed/Thu	Lowe's, Target, TJX, Analog Devices, Estée Lauder; Walmart, Alibaba, Deere	Retail and industrial breadth after Monday's narrow AI-hardware leadership.
Fri	S&P Global flash PMIs	Growth/inflation mix after Empire State's price-paid strength.

- **Equity setup:** treat Fabrinet's after-hours reversal as a check on optical momentum, but do not confuse it with the stronger storage tape.
- **Rates setup:** a 30-year yield above 5.30% leaves long-duration megacaps vulnerable if oil remains bid.
- **Commodity setup:** crude strength is geopolitical; nat gas weakness is domestic supply and weather, so energy beta is not uniform.
- **Positioning setup:** elevated SPX put/call plus persistent leveraged-fund shorts can amplify either a squeeze or a downside break; do not read it as directional by itself.

How Tuesday should resolve the open questions

First, housing. A weak starts print would confirm NAHB's message that affordability and incentives are still doing the work; a firm print would make Monday's rate pressure harder to dismiss because it would arrive with stronger growth momentum after Empire State. The market reaction should be judged through the long end first and homebuilders second.

Second, earnings quality. Home Depot is the cleanest consumer-and-housing read before the open; Toll Brothers extends that test after the close. Keysight is the most direct listed checkpoint for the hardware capex theme after Fabrinet's cash-flow disappointment. Baidu is separate: it is a China-platform and AI-monetization read, not part of Monday's US storage move.

Third, the inflation channel. Oil strength now matters through expectations and real yields rather than only through energy-sector earnings. If crude holds its late-session gain while the 30-year yield remains above Monday's threshold, multiple compression can overpower otherwise good single-stock news. If crude fades, the same AI-hardware leadership can reassert quickly because positioning is not uniformly long.

Table 3. Confirmation and invalidation board

Theme	Confirmation	Invalidation
AI hardware leadership	Storage and optical names hold gains while Fabrinet stabilizes.	Fabrinet's after-hours slide spreads into Credo, Coherent and semicap.
Rates constraint	30-year yield stops rising after housing and industrial production.	Oil and the long end rise together again.
Consumer read-through	Home Depot separates housing weakness from broader demand.	Weak guidance compounds the NAHB signal before Walmart and Target.
China/AI read-through	Baidu supports AI monetization without changing the US hardware tape.	A weak print spills into global AI-platform sentiment.
Volatility regime	VIX falls back while index put/call normalizes.	VIX9D closes the gap to VIX and SPX hedging stays elevated.

Base case into Tuesday: expect dispersion rather than a clean index verdict. Monday's most reliable information was not the modest S&P decline; it was the combination of strong hardware breadth, rising index hedging and a higher long-end yield. The highest-value signal is whether AI-hardware winners can hold their gains while rates remain restrictive. The highest-risk signal is a renewed oil-led rise in the 30-year yield, because that would hit the same megacap complex that already lagged.

Annex

Annex A — unavailable, unverified or conflicting data

Datasource failures. Yahoo Finance plugin calls succeeded for ^GSPC and SNDK, then returned quota-exhaustion errors for the bulk quote batch. SEC EDGAR calls for L3Harris events, Fabrinet events and Berkshire holdings also returned quota exhaustion. These are datasource failures, not evidence of missing filings.

Official settlements. CME/ICE official settlement values for WTI, Brent and gold were not retrievable by the cutoff. The report uses labeled 4pm and late-session snapshots, not settlement language.

Treasury par yields. The official 17 Aug daily Treasury par-yield table was not available by cutoff. Reported 5-year, 10-year and 30-year levels come from a named late-session market scorecard.

Sector table and breadth. A verified official closing table for all 11 GICS sectors and NYSE advance-decline breadth was not obtained; neither is estimated.

Dealer gamma. No verifiable same-session dealer-gamma level was available by cutoff.

Annex B — sources

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[2] Yahoo Finance plugin, `get_stock_info` for ^GSPC and SNDK, retrieved 18 Aug 2026 for 17 Aug session; local artifacts `GSPC_info.csv` and `SNDK_info.csv`.

[3] Futu Morning Brief and session tables, 18 Aug 2026. <https://news.futunn.com/en/post/77801289/futu-morning-brief-us-iran-stalemate-adds-inflation-uncertainty-pressure>

[4] Investopedia, "Stock Market Today," 17 Aug 2026, 4pm/4:15pm ET snapshots. <https://www.investopedia.com/stock-market-today-dow-jones-s-and-p-500-08172026-12061093>

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[6] SRN/Reuters, Berkshire 13F report, 17 Aug 2026. <https://srnnews.com/berkshire-buys-more-alphabet-which-becomes-its-third-largest-stock-investment/>

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[9] Investing.com, Fabrinet regular-session and after-hours report, 17 Aug 2026.

[10] Yahoo Finance/Oilprice, BHP FY2026 results report, 17 Aug 2026.

[11] NY Fed, Empire State Manufacturing Survey, Aug 2026 PDF. https://www.newyorkfed.org/medialibrary/media/survey/empire/empire2026/2026_08_empire-state-manufacturing-survey.pdf

[12] NAHB, August HMI release, 17 Aug 2026. <https://www.nahb.org/news-and-economics/press-releases/2026/08/affordability-pressures-keep-builder-confidence-low>

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[15] Retail Insider, attributed Canada CPI component summary, 17 Aug 2026.

[16] Traders Agency, market scorecard, 17 Aug 2026 18:03 EDT.

[17] AP, "BC-Copper Futures," prices as of 16:30, 17 Aug 2026. <https://finance.yahoo.com/markets/commodities/articles/bc-copper-futures-140021590.html>

[18] Aegis Hedging/Bloomberg, "Copper Spreads Rising on Nearby Supply Squeeze," 17 Aug 2026. <https://aegis-hedging.com/insights/metals/daily-first-look/2026-08-17>

[19] Trading Economics, US natural-gas reports and Investing.com micro Henry Hub history, 17 Aug 2026.

[20] ECB, euro foreign-exchange reference rates, historical 90-day XML, 17 Aug 2026. <https://www.ecb.europa.eu/stats/eurofxref/eurofxref-hist-90d.xml>

[21] Yahoo Finance, USD/JPY historical data, 17 Aug 2026. <https://finance.yahoo.com/quote/JPY%3D%3D/history/>

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[24] CFTC, Traders in Financial Futures futures-only 2026 archive, positions as of 11 Aug, released 14 Aug 2026. https://www.cftc.gov/files/dea/history/fut_fin_txt_2026.zip

[25] Schwab Network, week-ahead calendar, 17 Aug 2026. <https://schwabnetwork.com/articles/week-ahead-retail-earnings-fomc-minutes-housing-data-in-focus>

Method note. Figures were accepted only when tied to a named source and session date. Official or primary sources take precedence over aggregators; timing differences are labeled rather than blended. Charts are matplotlib PNGs. Rendered from HTML with Chromium at `/usr/bin/chromium` using `--no-sandbox`; the preferred pinned Chromium path was unavailable. No market figure was estimated from memory.